digitA — Research Report

STRENGTHENING CYBERSECURITY GOVERNANCE IN AFRICA'S DIGITAL FINANCIAL SERVICES

Closing the Gap Between Regulatory Ambition and Enforcement Capacity

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1. Research Question and Problem Statement

Amid the competition among banks, fintechs and mobile money providers to digitize finance in Africa, a significant issue of governance has arisen regarding whether regulation and governance of cyber security can move fast enough to counter increasingly sophisticated attacks on financial systems. This report assesses the mismatch between the rapidly evolving digital financial landscape in the region and the governance capabilities to protect it, with particular focus on Nigeria, Ghana, Kenya and South Africa..

2. Why This Issue Is Important

The issue of digital financial services being key to financial inclusion in Africa, where tens of millions of unbanked customers have been brought onto a formal system of payments using mobile money, agency banking, and lending via apps, is also what makes them the most lucrative target of cyber criminals. Financial companies possess the data that criminals seek: bank verification numbers, national identity numbers, KYC documents, and credentials used for making payments. In addition to that, these companies do not necessarily have enough resources, budget, and IT specialists to match the scale of their clients base. When the breach does happen, it brings about a tangible damage in terms of financial losses, potential identity theft for millions of users, and erosion of trust, which, in its turn, negatively affects financial inclusion digitization.

The importance of the issue goes beyond borders of individual countries as well. Investors and foreign partners use good cybersecurity policies as a measure of digital development of particular markets. The lack of strict rules in one of the countries may bring down confidence in cross-border payment routes and fintech businesses on a Pan-African scale..

3. Current Policy, Regulatory, and Market Landscape

3.1 Nigeria

Nigeria hosts the largest and best-tested digital finance market in the region. In February 2026, the Central Bank of Nigeria (CBN) published a regulation roadmap for fintechs featuring a regulatory engagement portal, an intelligence-based supervision and licensing

mechanism, and a trust and security policy. The Nigeria Data Protection Act (NDPA), introduced in 2023, now also benefits from an implementation directive, effective since September 2025, that requires data breaches to be reported within 72 hours. The Nigeria Data Protection Commission (NDPC) has also launched its direct threat advisories such as one issued in April 2026 regarding coordinated attacks on banking, payment systems, and telecom systems.

Nevertheless, enforcement of the above measures has been somewhat inconsistent. For example, the CBN demonstrated its readiness to revoke the licence of institutions that violate regulations by revoking the licences of 46 microfinance banks in mid-2026 and establishing a separate Payments System Policy and Oversight Office to carry out regular checks of switching companies, mobile money operators, and payment terminals..

3.2 Ghana

The Bank of Ghana issued a new CISD 2026 in March 2026, targeting improvement of threat detection, preparedness, and response among licensed financial entities. The CISD 2026 intends to consolidate fintech companies under one umbrella and also identify many of them as Critical Information Infrastructure. There is also a data sovereignty component of this directive which demands that sensitive financial data is stored within Ghana.

3.3 South Africa and Kenya

South Africa is still utilizing POPIA as the primary data protection legislation for fintech, together with crypto-asset regulations that have put digital asset service providers under the same regulatory purview as regular financial firms. The Central Bank of Kenya and its Capital Markets Authority are now enforcing virtual assets regulation enacted in October 2025, while its 2024–2027 regulations focus on fintech, AI, and crypto-assets as emerging risks.

3.4 The Continental Layer: the Malabo Convention

The Malabo Convention is currently the sole continent-wide legal instrument regulating cyber security and personal data protection other than the one existing in Europe. Having been signed in 2014, the Malabo Convention came into force in June 2023 after reaching the required fifteen ratifications and includes electronic commerce, personal data protection, and cybercrime provisions. The actual effectiveness of this convention is low since several states possessing the most developed digital markets in Africa, such as South Africa and Kenya, have failed to ratify the convention; additionally, several countries have enacted their own national data protection laws, which are based on the GDPR.

4. Analysis: Trends, Opportunities, Challenges, and Trade-offs

4.1 Key trends

- Regulatory maturity outstrips regulatory capacity. Nigeria, Ghana, Kenya, and South Africa have all introduced or reinforced their respective cybersecurity and data protection regulations over the past eighteen months; however, regulation agencies lack capacity in terms of staffing compared to the number of licensed institutions they must regulate.
- Cybercrime is becoming more sophisticated. Rather than relying on direct harvesting of compromised credentials, threat actors are now buying and selling them, while ransomware campaigns are incorporating data theft and extortion through the leaking of KYC documents and reporting to the regulator of compliance problems in order to blackmail victims.
- Artificial intelligence is making attacks easier. Financial sector analysts in Nigeria have found phishing attacks driven by AI which removes grammatical errors and allows attackers to bypass security filters, and deepfakes are being used to impersonate executives in authorising payments.
- Threats are moving from the level of individual banks to that of infrastructure. Instead of targeting individual banks, threat actors are now targeting shared platforms and infrastructures such as corporate registries and switching platforms because compromising them would compromise the whole banking system.

4.2 Opportunities

- Regional harmonisation potential. If a critical mass of larger economies ratifies the Malabo Convention, or aligns national frameworks more closely with it, cross-border fintech expansion could operate under a more predictable and interoperable compliance baseline.
- Regulatory sandboxes as a governance tool. Nigeria's CBN Regulatory Sandbox Programme, now opening its second cohort, gives regulators early visibility into new payment and virtual-asset technologies before they reach systemic scale, rather than reacting only after a licence is already in wide use.
- Breach-notification regimes are creating better data. Mandatory 72-hour reporting windows, now in force in Nigeria, are beginning to generate the kind of incident data regulators need to target supervisory resources more precisely.

4.3 Challenges and trade-offs

- Speed versus capacity. Faster licensing and product approval — attractive for financial inclusion and investment — increases the number of entities regulators must supervise without a proportional increase in trained examiners or technical audit capacity.
- Compliance cost versus market access for smaller players. Stricter capital, licensing, and security requirements protect systemic stability but risk pushing smaller fintechs and digital lenders toward informal, unregulated operation, which paradoxically increases consumer risk.
- Data localisation versus interoperability. Ghana's data-sovereignty requirement improves national oversight but complicates the cloud-based, cross-border architecture many fintechs rely on for cost efficiency and disaster recovery.
- Enforcement visibility versus institutional reputation. Regulators that publicise breaches and revocations build public trust in supervision but risk short-term reputational damage to the sector; regulators that keep enforcement quiet protect market confidence but leave weaknesses uncorrected.

5. Evidence: Data and Case Studies

Nigeria is a country that serves as an example of how big the issue is and what the potential future response may look like. According to cybersecurity company Surfshark, there were 281,500 hacked Nigerian accounts reported in Q1 2026, which represents a 18 percent rise from the previous quarter and brings the number of hacked accounts to almost 24 million, the third-largest in Sub-Saharan Africa, since 2004. Deloitte’s Nigeria Cyber Security Outlook 2026 shows that Nigeria lost over three billion dollars to cybercrimes between 2019 and 2025, which amounts to approximately half a billion dollars annually, while the NDPC reported that the country has a cyber attack every 39 seconds.

There were two cases in March and April of 2026 which should be of particular interest from the governance perspective. First, a threat group announced the breach of 900,000 customer account and 3,000 staff records, including their bank verification numbers, national identification numbers and passport data, at Sterling Bank. Second, in April, Corporate Affairs Commission of Nigeria acknowledged that some of its system was compromised and closed down its registration portal due to the breach which the attackers attributed to exfiltration of 25 million files; the importance of this case lies in the fact that CAC is shared civil infrastructure which is used by all the registered businesses, including banks and fintechs, for their verification. Both of these events fit the pattern of platform-level breaches

mentioned above, and both of them happened after the introduction of NDPA 72-hour notification requirement.

The same underlying pressure has resulted in the issuance of CISD 2026 in Ghana and a trust and security charter in Nigeria – the pressure on financial regulators to issue mandatory cybersecurity directives similar to prudential capital requirements.

6. Policy and Business Recommendations

6.1 For regulators (CBN, Bank of Ghana, NDPC, and peers)

- Tie supervisory capacity growth to licensing growth. Every expansion of licensed fintech categories (as in Nigeria's four-tier payments licensing model) should carry a matching commitment to examiner headcount and technical audit tooling, not just new rules on paper.
- Publish anonymised breach-notification statistics quarterly. This would let regulators, researchers, and the market track whether 72-hour reporting rules are improving detection speed, and would give smaller institutions a benchmark for their own risk posture.
- Treat shared infrastructure (registries, switches, identity databases) as Critical Information Infrastructure with its own dedicated resilience budget and incident-response drills, separate from individual bank supervision.
- Advance mutual recognition talks around the Malabo Convention. Where full ratification is politically difficult, regulators should pursue bilateral or regional-bloc (ECOWAS, EAC) recognition agreements that achieve similar cross-border interoperability without requiring immediate treaty accession.

6.2 For financial institutions and fintechs

- Adopt the baseline controls regulators are already naming explicitly — multi-factor authentication, continuous patch management, vulnerability testing, and zero-trust architecture — rather than waiting for enforcement action to force adoption.
- Build AI-aware fraud controls. Given the reported rise in AI-generated phishing and deepfake-enabled payment fraud, out-of-band verification for high-value payment authorisation should be treated as a standard control, not an optional add-on.
- Plan for multi-extortion ransomware, not just data-loss ransomware. Incident-response playbooks should assume attackers will threaten regulatory disclosure and customer notification as leverage, and should pre-position legal and communications response alongside technical containment.

6.3 For development partners and civil society

- Fund examiner training and technical capacity at data protection authorities, which is consistently the binding constraint on enforcement even where legislation is strong.
- Support Malabo Convention ratification advocacy in the remaining large, unratified economies, since regional harmonisation lowers compliance costs for cross-border fintech expansion, which in turn supports financial inclusion goals partners already fund.

7. Broader Implications and Conclusion

From what we see in practice, the digital financial services space in Africa seems to have moved to a new stage of governance, from a stage where regulators are busy making cybersecurity rules to a more difficult one where enforcement is key. Each of Nigeria, Ghana, Kenya, and South Africa has proven that regulators can regulate in a serious manner — mandatory breach notifications, industry-specific cybersecurity directive, licence cancellation, and cryptocurrency licensing framework are not anymore a dream. Inconsistencies appear only in the supervisory capacity, cross-jurisdiction harmonisation and resilience of common infrastructure before the next platform-level breach occurs, not afterwards.

Governments will have to fund their regulatory agencies for enforcement at the same speed as licensing. Regulators will need to think about registers, switches and identity systems as critical infrastructure. Businesses will need to implement the minimum controls before they are mandated through mandatory directives, breach notification regulations and platform-level compliance. The most impactful intervention that development partners could make is not to help with the drafting of cybersecurity regulations but to help with funding enforcement capabilities of the regulators.

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